Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

Factors Influencing Location Decisions

Exam code: 0450, 0986 & 0264, 0774

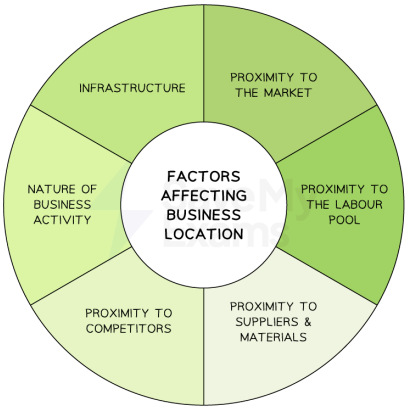
Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 28 August 2025

Manufacturing business locations

- **Location** is the site from which a business decides to operate
- A business will consider location if it is **setting up for the first time** or its **existing location no longer meets its needs**
  - A new site may become available that is more attractive to the business
    - For example, it has a larger staff car park or room for further expansion
- Choosing a good production location can have **significant impacts on a business**.
- A range of factors influence the location a business chooses for production

Factors affecting manufacturing business location



Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Proximity to the market

- This refers to how close the business is to its target customers
- Being near the market can reduce transport costs and make it easier for customers to access the business

Proximity to labour

- This means being located near areas where skilled and qualified workers are available
- Businesses often choose locations with a strong local workforce to make it easier to hire the right people and run operations efficiently

Proximity to materials

- This refers to how close a business is to the raw materials or supplies it needs
- Being near materials helps reduce transportation costs and ensures a steady supply

Proximity to competitors

- Some businesses choose to locate near competitors to attract the same customer base or to offer something different
- Others may avoid locating near competitors to reduce direct competition

The nature of the business activity

- Different types of businesses have different location needs based on what they do
- For example, a manufacturing plant may need large space and delivery access, while a law firm may need a smaller, more central office
- For example, a factory needs room for machinery and deliveries, while a law office needs a professional, easy-to-access location

Infrastructure

- This includes transport links and electronic networks like internet connections
- Good transport is essential for businesses that deliver physical goods
- Fast and reliable internet is key for online businesses
- For example, an online fashion retailer needs a location close to the motorway for quick delivery and fast service, helping it compete in the market

Help me understand

Examiner Tips and Tricks

Don't assume "low costs" are always the main factor – examiners expect you to recognise that priorities differ, e.g. a

Service businesses locations

- Businesses in the service sector consider further factors when determining a suitable location
- **Proximity to customers** is very important for retail businesses
  - Premises must be accessible and convenient so a location with a car park or close to transport links is likely to be attractive
  - Locating in areas with high footfall, such as on a high street or in a shopping mall, is a popular choice for retailers
- In some cases, a location may be chosen to **take advantage of a shared customer base** or a particular reputation
  - Examples include bookshops on London's Charing Cross Road and luxury fashion brands on New York's Fifth Avenue
- **Climate and geographical factors** can be a key factor for some specialist service providers
  - For example. businesses that offer ski instruction are located in mountainous areas with high annual snowfall
- Services businesses that **do not rely on passing trade** may locate in out-of-town premises
  - Rent and business rates tend to be lower
  - Incentives for job creation such as grants may be available from local authorities
- In addition, businesses are likely to avoid locating in areas with **high levels of anti-social behaviour and crime,** as this could impact insurance costs

Factors to consider when choosing a country to produce in

- When a business chooses which country to locate operations in, such as manufacturing, customer support or regional headquarters, it must consider a range of factors

Factor	Explanation

	• This can help firms from countries such as China avoid trade barriers
Financial incentives	• Some governments offer tax breaks, grants or loans to attract foreign investment that creates jobs and brings in foreign currency
Labour costs & skills	• Some countries have low wages, like Bangladesh or Turkey, offering low-cost location for garment manufacture • Technology businesses may be attracted to Ireland's highly-skilled workforce
Corporate tax rates	• Low-tax locations (e.g. Ireland's 12.5%) attract multinational firms like Google, Microsoft, Apple that want to reduce their tax burden
Access to raw materials	• Locating near key resources can cut raw material transport costs and reduce supply delays
Market access	• Being near customers reduces distribution costs and helps a business serve saturated or new markets quickly
Political/legal environment	• Stable economies with clear laws are safer • Weak enforcement of law or unstable government in less developed countries may mean lower costs but greater risks
Infrastructure quality	• Good roads, ports, power grids and communications allow smoother production and trade

Case Study

Why Multinationals Choose Ireland

Many multinational companies are increasingly choosing Ireland as a base for both service and manufacturing business operations

- Very low corporation tax rate of around 12.5%
- Access to a highly educated, English-speaking workforce that fits technology or R&D roles
- Open immigration policies attract global skilled workers in technology, healthcare and ICT sectors
- Strategic location that gives easy access to both the US and European markets
- Strong infrastructure and legal environment with stable government and EU membership

Recommending an appropriate business location

- When a business is choosing between possible locations, it must **recommend** one option and then **justify** (explain why) that choice using evidence

Steps in the process

1. **Identify the options** – e.g., two different sites or two different countries
2. **Weigh up the advantages and disadvantages** of each option
3. **Consider the type of business** – e.g., manufacturer vs. service provider
4. **Think about long-term success** – costs, customer access, and growth potential
5. **Make a clear recommendation** – state which option is better
6. **Justify with reasoning** – link back to the case study data (e.g. "This site is closer to customers, which is more important than slightly higher rent, because it increases sales").

What to include in a justification

- **Suppliers:** Is one location closer to raw materials or supply chains?
- **Labour:** Are skilled workers available?
- **Competition:** Is one site less competitive, or does clustering with rivals increase customers?
- **Government:** Are there incentives (e.g. tax breaks, grants)?
- **Risk & future growth:** Which location offers better potential to expand or adapt?

Case Study

Choosing a New Production Location for Sabores del Sol

Background:
Sabores del Sol is a successful Spanish company producing ready meals and Mediterranean snacks. Rising production costs in Spain and growing demand across Europe mean the business needs to open a new international production facility.

The company is considering three possible countries: **Poland, Vietnam, and Mexico.**

Option 1: Poland

Benefits

- Lower labour costs than Spain
- Member of the EU → no trade barriers when exporting across Europe
- Strong transport links throughout Europe
- Skilled workforce with experience in food manufacturing

Drawbacks

- Labour costs are rising gradually
- Language and cultural differences
- Regional bureaucracy may cause delays

Option 2: Vietnam

- Strong government support for foreign investment
- Access to rapidly growing Asian markets
- Expanding industrial infrastructure

Drawbacks

- Long distance from Spain → higher shipping costs and delivery times
- Less reliable logistics compared to Europe
- Language and cultural differences could create training and communication problems

Option 3: Mexico

Benefits

- Competitive labour costs and skilled food processing sector
- Trade advantages when exporting to the US and Latin America
- Good access to fresh raw materials
- Growing export and manufacturing reputation

Drawbacks

- Long distance from Spain → higher shipping costs to Europe
- Political instability and safety concerns
- Complex regulations in some regions

Recommendation and Justification

Poland is the most suitable location for *Sabores del Sol*

- It offers **lower production costs** than Spain, while still providing a **skilled workforce**
- Being inside the **EU** means there are **no tariffs or trade barriers**, which supports smooth and cost-effective exports to Sabores del Sol's main market in Europe
- Its **strong transport links** ensure reliable delivery across the continent

Vietnam and Mexico provide lower labour costs, but both are **much further from Europe**. This means **longer delivery times, higher shipping costs, and supply chain risks**, which are significant disadvantages for a company aiming to grow in the European ready-meals market

Conclusion

Poland offers the best balance of cost savings, skilled labour, and easy access to European customers. It is a **low-risk, strategic choice** that matches the company's growth objectives

Teacher only

New! Exclusive Teacher-Only Questions

- Fresh, expert-written questions
- Students can't access them

Test yourself Flashcards

Was this revision note helpful? Yes No

Previous Next

Course Study tools All topics

Resources

Learning Hub
Scholarship
Join
Past Papers
Solution Banks
Sitemap

Dashboard

Overview
Brand ambassador
Profile
Subscription
Settings
Log out

Company

About us
Exam Specificity
Content Quality
Promotions
Jobs
Terms
Privacy
Cookie Policy
Help and Support

Subjects

Biology
Chemistry
Physics
Maths
Geography
English Literature
Psychology
All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.